

Diploma in International Financial Reporting

Tuesday 10 December 2013

**Time allowed**

Reading and planning: 15 minutes

Writing: 3 hours

ALL FOUR questions are compulsory and MUST be attempted.

Do NOT open this paper until instructed by the supervisor.

During reading and planning time only the question paper may be annotated. You must NOT write in your answer booklet until instructed by the supervisor.

This question paper must not be removed from the examination hall.

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The question paper begins on page 3.

ALL FOUR questions are compulsory and MUST be attempted

- 1 Alpha holds investments in two other entities, Beta and Gamma. The statements of financial position of the three entities at 30 September 2013 were as follows:

	Alpha \$'000	Beta \$'000	Gamma \$'000
ASSETS			
Non-current assets:			
Property, plant and equipment (Notes 1 and 3)	320,000	235,000	220,000
Intangible assets (Notes 1 and 4)	55,000	60,000	Nil
Investments (Notes 1 and 2)	322,000	Nil	Nil
	<u>697,000</u>	<u>295,000</u>	<u>220,000</u>
Current assets:			
Inventories (Note 5)	88,000	61,000	42,000
Trade receivables (Note 6)	65,000	49,000	38,000
Cash and cash equivalents	12,000	10,000	9,000
	<u>165,000</u>	<u>120,000</u>	<u>89,000</u>
Total assets	<u><u>862,000</u></u>	<u><u>415,000</u></u>	<u><u>309,000</u></u>
EQUITY AND LIABILITIES			
Equity			
Share capital (\$1 shares)	195,000	150,000	120,000
Retained earnings	185,000	115,000	75,000
Other components of equity (Notes 2 and 3)	192,000	11,000	Nil
Total equity	<u>572,000</u>	<u>276,000</u>	<u>195,000</u>
Non-current liabilities:			
Long-term borrowings (Note 8)	170,000	54,000	50,000
Deferred tax	50,000	35,000	20,000
Total non-current liabilities	<u>220,000</u>	<u>89,000</u>	<u>70,000</u>
Current liabilities:			
Trade and other payables (Note 6)	48,000	45,000	34,000
Short-term borrowings	22,000	5,000	10,000
Total current liabilities	<u>70,000</u>	<u>50,000</u>	<u>44,000</u>
Total equity and liabilities	<u><u>862,000</u></u>	<u><u>415,000</u></u>	<u><u>309,000</u></u>

Note 1 – Alpha's investment in Beta

On 1 July 2012, Alpha acquired 120 million shares in Beta by means of a share exchange. The terms of the business combination were as follows:

- Alpha issued five shares for every six shares acquired in Beta. On 1 July 2012, the market value of an Alpha share was \$2.40. This share issue has been correctly reflected in the financial statements of Alpha.
- Alpha will make a further cash payment of \$50 million to the former shareholders of Beta on 30 June 2015. Alpha has made no entry in its financial statements in respect of this additional payment. At 1 July 2012, Alpha's credit rating was such that it could have borrowed funds at an annual interest rate of 10%.

It is the group policy to value the non-controlling interest in subsidiaries at the date of acquisition at fair value. The market value of an equity share in Beta at 1 July 2012 was \$1.70 and can be used for this purpose.

On 1 July 2012, the individual financial statements of Beta showed the following reserves balances:

- Retained earnings \$98 million.
- Other components of equity \$5 million (see Note 3 below).

The directors of Alpha carried out a fair value exercise to measure the identifiable assets and liabilities of Beta at 1 July 2012. The following matters emerged:

- Plant and equipment having a carrying value of \$120 million had an estimated market value of \$130 million. The estimated future economic life of the plant and equipment at 1 July 2012 was four years and this estimate remains valid. Beta has disposed of 20% of this plant and equipment since 1 July 2012.
- Intangible assets with an estimated market value of \$12 million had not been recognised in the individual financial statements of Beta. At 1 July 2012, the estimated future economic lives of these intangible assets was five years.

The fair value adjustments have not been reflected in the individual financial statements of Beta. In the consolidated financial statements the fair value adjustments will be regarded as temporary differences for the purposes of computing deferred tax. The rate of deferred tax to apply to temporary differences is 20%.

No impairment of the goodwill on acquisition of Beta has occurred since 1 July 2012.

Note 2 – Alpha’s investment in Gamma

On 1 October 2012, Alpha acquired 48 million shares in Gamma for a total cash payment of \$80 million. This share purchase followed an agreement with two other investors (who each purchased 36 million shares in Gamma on 1 October 2012) to exercise joint control over Gamma. All key operating and financial policies, including the distribution of profits, require the unanimous consent of the three investors. In its own financial statements Alpha treated the investment in Gamma as a financial asset and made an election to measure it at fair value through other comprehensive income. On 30 September 2013, the fair value of Alpha’s investment in Gamma was \$82 million. Alpha did not recognise any deferred tax in respect of this restatement to fair value. Therefore on 30 September 2013 Alpha credited \$2 million to other components of equity.

On 1 October 2012, the individual financial statements of Gamma showed the following reserves balances:

- Retained earnings \$66 million.
- Other components of equity \$Nil

On 1 October 2012, there were no material differences between the carrying values of the net assets of Gamma in the individual financial statements and the fair values of those net assets.

You do not need to consider the deferred tax implications of Alpha’s investment in Gamma when preparing the consolidated statement of financial position of the Alpha group.

Note 3 – Property, plant and equipment of Beta

Beta measures its land under the revaluation model. The other components of equity of Beta consist entirely of revaluation surpluses arising on the revaluation of its land. On 1 July 2012, the carrying value of Beta’s land in Beta’s own financial statements was the same as its fair value. On 30 September 2013, Beta revalued its land by \$7.5 million. As a result of this revaluation, Beta recognised an additional deferred tax liability of \$1.5 million and credited \$6 million to other components of equity. The policy of Alpha and Gamma is to use the cost model to measure all property, plant and equipment. This is the policy to be adopted in the consolidated financial statements.

Note 4 – Intangible assets of Alpha and Beta

The intangible assets of Alpha comprise expenditure incurred during the year on a project to reduce wastage incurred during the group’s production processes. The project began on 1 November 2012 and is expected to be complete by 31 May 2014. Expenditure to date has been \$5 million each month. On 1 June 2013, the directors were able to assess the technical feasibility and commercial viability of the project with reasonable certainty. At this date they also received assurance that the economic benefits the project was likely to bring to the group were likely to exceed the total project costs.

The intangible assets in the individual financial statements of Beta represent goodwill which arose on acquisition of an unincorporated business in 2008. No impairment of this goodwill has been necessary since the date of acquisition of Beta by Alpha.

Note 5 – Inter-company sale of inventories

The inventories of Beta and Gamma at 30 September 2013 included components produced by Alpha. The selling price of the components included in the inventories of Beta was \$14 million. The selling price of the components

included in the inventories of Gamma was \$12 million. Alpha applied a mark up of one-third of its production cost in arriving at the sales price of these components. You can ignore deferred tax when making any adjustments due to the information in this note.

Note 6 – Trade receivables and payables

The trade receivables of Alpha included \$8 million receivable from Beta and \$7 million receivable from Gamma in respect of the purchase of components (see Note 5). The trade payables of Beta and Gamma included equivalent amounts payable to Alpha.

Note 7 – Forward currency contract

During July and August 2013 Alpha conducted a large marketing effort in Country X. The currency in Country X is the Euro. Alpha made no sales to customers in Country X in the year ended 30 September 2013 but is very confident of making substantial sales to such customers in the year ended 30 September 2014. On 5 September 2013, Alpha entered into a contract to sell €20 million for \$28 million on 31 October 2013. Currency fluctuations in September 2013 were such that on 30 September 2013 the fair value of this currency contract was \$1.1 million (a financial asset). The draft financial statements of Alpha do not include any amounts in respect of this currency contract since it has a zero cost. Alpha wishes to use hedge accounting whenever permitted by International Financial Reporting Standards. Alpha expects sales to customers in Country X to be at least €22 million in October 2013.

Note 8 – Long-term borrowings

The long-term borrowings of Alpha include a loan at a carrying amount of \$60 million which was taken out on 1 October 2012. The loan does not carry any interest but \$75.6 million is repayable on 30 September 2015. This represents an effective annual rate of return for the investors of 8%. As an alternative to repayment, the investors can exchange their loan asset for equity shares in Alpha on 30 September 2015. The annual rate of return required by such investors on a non-convertible loan would have been 10%. Alpha has not charged any finance cost in respect of this loan for the year ended 30 September 2013.

The present value of \$1 payable/receivable in three years' time is as follows:

- 79.4 cents when the discount rate is 8% per annum.
- 75.1 cents when the discount rate is 10% per annum.

Required:

Prepare the consolidated statement of financial position of Alpha at 30 September 2013.

Note: You should show all workings to the nearest \$'000.

(40 marks)

2 Delta is an entity which prepares financial statements to 30 September each year. Each year the financial statements are authorised for issue on 30 November. During the year ended 30 September 2013 the following transactions occurred:

- (a) On 1 April 2013, Delta subscribed for 40 million \$1 loan notes in Epsilon. The loan notes were issued at 90 cents and under the terms of issue were redeemable at \$1.20 on 31 March 2018. Interest is payable on 31 March in arrears at 4% of par value. This represents an effective annual rate of return for Delta of 9.9%. Delta's intention is to hold the loan notes until redemption. Until 31 October 2013 Epsilon was a successful company with a good reputation for settling all its liabilities on their due dates. However, due to an event which occurred on 31 October 2013, three of Epsilon's major customers became insolvent and this caused liquidity problems for Epsilon. During November 2013 Epsilon entered into negotiations with all its creditors, including Delta. Delta agreed to forego the interest payments due on 31 March 2014 and 2015, with the payments from 31 March 2016 onwards resuming as normal. (8 marks)
- (b) On 1 June 2013, Delta decided to dispose of the trade and assets of a business it had acquired several years previously. This disposal does not involve Delta withdrawing from a particular market sector. The carrying values on 1 June 2013 of the assets to be disposed of were as follows:

	\$m
Goodwill	10
Property, plant and equipment	20
Patents and trademarks	8
Inventories	15
Trade receivables	10
	63

Delta offered the business for sale at a price of \$46.5 million, which was considered to be reasonably achievable. Delta estimated that the direct costs of selling the business would be \$500,000. These estimates have not changed since 1 June 2013 and Delta estimates that the business will be sold by 31 March 2014 at the latest.

None of the assets of the business had suffered obvious impairment at 1 June 2013. At that date the inventories and trade receivables of the business were already stated at no more than their recoverable amounts.

(7 marks)

- (c) On 1 April 2013 Delta sold a property for \$20 million. The carrying amount of the property was \$23 million and its market value on 1 April 2013 was \$25 million. On 1 April 2013, Delta entered into an agreement to lease the property on a five-year lease. On that date the useful economic life of the property was estimated at 25 years. Annual lease rentals of \$1.8 million were payable on 1 April in advance. These rentals reflected the fact that the property had been sold at a price which was lower than its fair value. (5 marks)

Required:

Explain and show (where possible by quantifying amounts) how the three events would be reported in the financial statements of Delta for the year ended 30 September 2013. You do not need to quantify amounts which are only shown in the notes to the financial statements.

Note: The mark allocation is shown against each of the three events above.

You should assume that all transactions described here are material.

(20 marks)

- 3 (a) When preparing financial statements it is important to ensure that the tax consequences of all transactions are appropriately recognised. IAS 12 – *Income Taxes* – prescribes the treatment of both current and deferred tax assets and liabilities.

Current tax is the amount of income tax payable or recoverable in respect of the taxable profit or tax loss for a period. Deferred tax is tax on temporary differences. A temporary difference is the difference between the carrying amount of an asset or liability and its tax base. A taxable temporary difference leads to a potential deferred tax liability and a deductible temporary difference leads to a potential deferred tax asset.

Required:

Explain how the tax base of both an asset and a liability is computed and state the general requirements of IAS 12 regarding the recognition of both deferred tax liabilities and deferred tax assets. You do not need to identify any of the exceptions to these general requirements which are set out in IAS 12. (5 marks)

- (b) Kappa prepares consolidated financial statements to 30 September each year. During the year ended 30 September 2013 Kappa entered into the following transactions:

- (i) On 1 October 2012, Kappa purchased an equity investment for \$200,000. The investment was designated as fair value through other comprehensive income. On 30 September 2013, the fair value of the investment was \$240,000. In the tax jurisdiction in which Kappa operates, unrealised gains and losses arising on the revaluation of investments of this nature are not taxable unless the investment is sold. Kappa has no intention of selling the investment in the foreseeable future. (5 marks)
- (ii) On 1 August 2013, Kappa sold products to Omega, a wholly owned subsidiary operating in the same tax jurisdiction as Kappa, for \$80,000. The goods had cost Kappa \$64,000. By 30 September 2013, Omega had sold 40% of these goods, selling the remaining 60% in October and November 2013. (6 marks)
- (iii) On 31 March 2013, Kappa received \$200,000 from a customer. This payment was in respect of services to be provided by Kappa from 1 April 2013 to 31 January 2014. Kappa recognised revenue of \$120,000 in respect of this transaction in the year ended 30 September 2013 and will recognise the remainder in the year ended 30 September 2014. Under the tax jurisdiction in which Kappa operates, the \$200,000 received on 31 March 2013 was included in the taxable profits of Kappa for the year ended 30 September 2013. (4 marks)

Required:

Explain and show how the tax consequences (current and deferred) of the three transactions would be reported in the statement of financial position of Kappa at 30 September 2013 and its statement of profit or loss and other comprehensive income for the year ended 30 September 2013.

Note: The mark allocation is shown against each of the three transactions above.

You should assume that:

- The rate of income tax in the jurisdiction in which Kappa operates is 25%.
- Both Kappa and Omega are profitable companies which consistently generate annual taxable profits of at least \$1,000,000.

In answering this part, you do NOT need to consider the possible offset of deferred tax assets against deferred tax liabilities.

(20 marks)

- 4 Omega is a listed company which prepares financial statements in accordance with International Financial Reporting Standards (IFRS).

(a) On 1 October 2012, Omega purchased some land for \$10 million (including legal costs of \$1 million) in order to construct a new factory. Construction work commenced on 1 November 2012. Omega incurred the following costs in connection with its construction:

- Preparation and levelling of the land – \$300,000.
- Purchase of materials for the construction – \$6.08 million in total.
- Employment costs of the construction workers – \$200,000 **per month**.
- Overhead costs incurred directly on the construction of the factory – \$100,000 **per month**.
- Ongoing overhead costs allocated to the construction project using Omega's normal overhead allocation model – \$50,000 **per month**.
- Income received during the temporary use of the factory premises as a car park during the construction period – \$50,000.
- Costs of relocating employees to work at the new factory – \$300,000.
- Costs of the opening ceremony on 31 July 2013 – \$150,000.

The factory was completed on 31 May 2013 and production began on 1 August 2013. The overall useful life of the factory building was estimated at 40 years from the date of completion. However, it is estimated that the roof will need to be replaced 20 years after the date of completion and that the cost of replacing the roof at current prices would be 30% of the total cost of the building. At the end of the 40-year period Omega has a legally enforceable obligation to demolish the factory and restore the site to its original condition. The directors estimate that the cost of demolition in 40 years' time (based on prices prevailing at that time) will be \$20 million. An annual risk adjusted discount rate which is appropriate to this project is 8%. The present value of \$1 payable in 40 years' time at an annual discount rate of 8% is 4.6 cents.

The construction of the factory was partly financed by a loan of \$17.5 million taken out on 1 October 2012. The loan was at an annual rate of interest of 6%. During the period 1 October 2012 to 28 February 2013 (when the loan proceeds had been fully utilised to finance the construction), Omega received investment income of \$100,000 on the temporary investment of the proceeds.

Required:

Compute the carrying amount of the factory in the statement of financial position of Omega at 30 September 2013. You should explain your treatment of all the amounts referred to in this part in your answer.

(14 marks)

(b) On 1 October 2011 Omega granted share options to 200 senior executives. The options will vest on 30 September 2014 subject to the following conditions:

- Each executive will be entitled to 1,000 options if the cumulative profit in the three-year period from 1 October 2011 to 30 September 2014 exceeds \$30 million. If the cumulative profit for this period is between \$35 million and \$40 million, then 1,500 options will vest. If the cumulative profit for the period exceeds \$40 million, then 2,000 options will vest.
- If an executive leaves during the three-year vesting period, then that executive would forfeit any rights to share options.
- Notwithstanding the above, no options will vest unless the share price at 30 September 2014 exceeds \$5.

Details of the fair values of the shares and share options at relevant dates are as follows:

Date	Fair value of	
	An Omega share	One of the options
	\$	\$
1 October 2011	4.00	0.50
30 September 2012	4.40	0.60
30 September 2013	4.60	0.75

The estimate of the cumulative profit for the three-year period ending 30 September 2014 was revised each year as follows:

Date	Expected profit for the three-year period	
	\$m	
1 October 2011	32	
30 September 2012	39	
30 September 2013	45	

On 1 October 2011, none of the relevant executives were expected to leave in the three-year period from 1 October 2011 to 30 September 2014 and none left in the year ended 30 September 2012. However, 10 executives left unexpectedly on 30 June 2013. None of the other executives are expected to leave before 30 September 2014.

Omega correctly reflected this arrangement in its financial statements for the year ended 30 September 2012.

Required:

Prepare relevant extracts from the statement of financial position of Omega at 30 September 2013 and its statement of profit or loss and other comprehensive income for the year ended 30 September 2013. You should give appropriate explanations to support your extracts. (6 marks)

(20 marks)

End of Question Paper

Answers

Marks

1 Consolidated statement of financial position of Alpha at 30 September 2013

ASSETS	\$'000	
Non-current assets:		
Property, plant and equipment (W6)	553,000	1½ (W6)
Intangible assets (W7)	29,000	2 (W7)
Goodwill (W2)	117,966	7½ (W2)
Investment in Gamma (W11)	82,400	1½ (W11)
	<u>782,366</u>	
Current assets:		
Inventories (88,000 + 61,000 – 3,500 (W4))	145,500	½ + ½
Trade receivables (65,000 + 49,000 – 8,000 (intra-group) – nil (associate))	106,000	½ + ½
Financial asset (derivative)	1,100	1
Cash and cash equivalents (12,000 + 10,000)	22,000	½
	<u>274,600</u>	
Total assets	<u><u>1,056,966</u></u>	
EQUITY AND LIABILITIES		
Equity attributable to equity holders of the parent		
Share capital	195,000	½
Retained earnings (W4)	147,232	11½ (W4)
Other components of equity (W5)	194,324	3½ (W5)
	<u>536,556</u>	
Non-controlling interest (W3)	53,200	1 (W3)
Total equity	<u>589,756</u>	
Non-current liabilities:		
Deferred consideration (W8)	42,356	1½ (W8)
Long-term borrowings (170,000 + 54,000 – 60,000 + 62,454 (W9))	226,454	½ + ½ + ½ + 1½ (W9)
Deferred tax (50,000 + 35,000 – 1,500 (Note 3) + 2,900 (W12))	86,400	½ + 1 + ½
Total non-current liabilities	<u>355,210</u>	
Current liabilities:		
Trade and other payables (48,000 + 45,000 – 8,000 (intra-group) – nil (associate))	85,000	½
Short-term borrowings (22,000 + 5,000)	27,000	½
Total current liabilities	<u>112,000</u>	40
Total equity and liabilities	<u><u>1,056,966</u></u>	

WORKINGS –DO NOT DOUBLE COUNT MARKS. ALL NUMBERS IN \$'000 UNLESS OTHERWISE STATED. NB: ALPHA OWNS 80% OF THE SHARES IN BETA AND 40% OF THE SHARES IN GAMMA

Working 1 – Net assets table – Beta:

	1 July 2012 \$'000	30 September 2013 \$'000	For W2	For W5
Share capital	150,000	150,000	½	
Other components of equity	5,000	11,000	½	½
Reverse post-acquisition revaluation		(6,000)		½
Retained earnings:				
Per accounts of Beta	98,000	115,000	½	½
Adjustment for own goodwill	(60,000)	(60,000)	½	½
Plant and equipment adjustment	10,000	8,000	½	½
Extra depreciation (8,000 x 15/48)		(2,500)		½
Intangible asset adjustment	12,000	12,000	½	
Extra amortisation (12,000 x 15/60))		(3,000)		½
Deferred tax on fair value adjustments	(4,400)	(2,900)	1½ (W12)	1½ (W12)
Net assets for the consolidation	<u>210,600</u>	<u>221,600</u>		

The post-acquisition increase in net assets is 11,000 (221,600 – 210,600). All of this increase relates to retained earnings

	½
<u>4½</u>	<u>5½</u>
⇒W2	⇒W4

Working 2 – Goodwill on consolidation (Beta)

	\$'000	
Cost of investment:		
Share exchange (120 million x 5/6 x \$2.40)	240,000	1
Deferred consideration (50 million)/1·10 ³	37,566	1
Fair value of non-controlling interest at date of acquisition (30 million x \$1.70)	<u>51,000</u>	<u>1</u>
	328,566	
Net assets at 1 April 2012 (W1)	(210,600)	4½ (W1)
Goodwill	<u>117,966</u>	<u>7½</u>

Working 3 – Non-controlling interest in Beta

	\$'000	
Fair value at date of acquisition (W2)	51,000	½
20% of post-acquisition increase in net assets (11,000 (W1))	<u>2,200</u>	<u>½</u>
	<u>53,200</u>	<u>1</u>

Working 4 – Retained earnings

	\$'000	
Alpha	185,000	½
Finance costs on deferred consideration (939 (W8) + 3,851 (W8))	(4,790)	½ + ½
Adjustment for intangible asset (W7)	(35,000)	½
Adjustment for finance cost of loan (W9)	(5,678)	½
Beta (80% x 11,000 (W1))	8,800	½ + 5½ (W1)
Gamma (40% x (75,000 – 66,000))	3,600	½ + ½
Unrealised profits on sales to Beta (14,000 x 1/4)	(3,500)	1
Unrealised profits on sales to Gamma (12,000 x 1/4 x 40%)	<u>(1,200)</u>	<u>1</u>
	<u>147,232</u>	<u>11½</u>

Working 5 – Other components of equity – Alpha

	\$'000	
Alpha	192,000	½
Deduct gain on revaluation of investment in Gamma	(2,000)	1
Gain on fair value of hedge accounted derivative	1,100	½
Equity component of convertible loan (W10)	<u>3,224</u>	<u>1½ (W10)</u>
	<u>194,324</u>	<u>3½</u>

Marks

Working 6 – Property, plant and equipment

	\$'000	
Alpha + Beta	555,000	1/2
Reversal of post-acquisition revaluation – Beta	(7,500)	1/2
Fair value adjustment – Beta (8,000 – 2,500 – W1)	5,500	1/2
	<u>553,000</u>	<u>1 1/2</u>

Working 7 – Intangible assets

	\$'000	
Alpha (per own financial statements)	55,000	1/2
November – May expenditure inappropriately capitalised	(35,000)	1
Beta at fair value (12,000 – 3,000 – W1)	9,000	1/2
	<u>29,000</u>	<u>2</u>

Working 8 – Deferred consideration

	\$'000	
At 1 July 2012 (W1)	37,566	1/2
Finance cost to 30 September 2012 (10% x 3/12)	939	1/2
At 1 October 2012	38,505	
Finance cost to 30 September 2013 (10%)	3,851	1/2
At 30 September 2013	<u>42,356</u>	<u>1 1/2</u>

Working 9 – Convertible loan

	\$'000	
Initial carrying amount (75,600 x 0.751)	56,776	1
Finance cost to 30 September 2013 (10% x 56,776)	5,678	1/2
At 30 September 2013	<u>62,454</u>	<u>1 1/2</u>

Working 10 – Equity component of convertible loan

	\$'000	
Carrying amount is balancing figure (60,000 – 56,776 (W9))	<u>3,224</u>	<u>1</u>
		⇒W5

Working 11 – Investment in Gamma

	\$'000	
Cost	80,000	1/2
Share of post-acquisition profits (W4)	3,600	1/2
Unrealised profit (W4)	(1,200)	1/2
	<u>82,400</u>	<u>1 1/2</u>

Working 12 – Deferred tax on fair value adjustments

Fair value adjustments:

	1 July 2012 \$'000	30 September 2013 \$'000	
Plant and equipment adjustment	10,000	5,500	1
Intangible asset adjustment	12,000	9,000	1
Net taxable temporary differences	<u>22,000</u>	<u>14,500</u>	
Related deferred tax (20%)	<u>4,400</u>	<u>2,900</u>	<u>1</u>
			<u>3</u>
			⇒W1

	Marks
2 (a) IFRS 9 – <i>Financial Instruments</i> – requires entities to measure financial assets at either amortised cost or fair value depending on the reason for holding them and the nature of the expected returns from the asset.	1
In this case, amortised cost should be used because Delta's objective is to hold the assets to collect the contractual cash flows associated with it and those cash flows consist solely of the repayment of principal and interest by Epsilon.	1
The asset will initially be measured at \$36 million (\$40 million x 90 cents).	½
The finance income for the six months to 30 September 2013 will be \$1.782 million (\$36 million x 9.9% x 6/12).	1
The closing asset will be \$37.782 million (\$36 million + \$1.782 million).	½
This asset will be split into its current and non-current portions.	½
The interest payment due on 31 March 2014 of \$1.6 million (\$40 million x 4%) will be a current asset.	1
The remaining asset of \$36.182 million (\$37.782 million – \$1.6 million) will be non-current.	½
The information regarding the financial difficulty of Epsilon is an event after the reporting period.	½
It is a non-adjusting event as it gives evidence of conditions arising after the end of the reporting period.	½
Therefore the financial statements are not adjusted but Delta should disclose the nature of the event and an estimate of its financial effect as non-disclosure could influence the economic decisions users of the financial statements might make.	1
	8
(b) The business would be regarded as held for sale from 1 June 2013. The held for sale criteria apply because the business is being actively marketed at a reasonable price and the sale is expected to be completed within one year of the date of classification.	1
Given this classification, IFRS 5 – <i>Non-current Assets Held for Sale and Discontinued Operations</i> – requires that the assets be separately classified under current assets in the statement of financial position. No further depreciation would be charged on these assets.	1
The assets will be measured at the lower of their current carrying amounts at the date of classification and their fair value less costs to sell. In this case, the total carrying amount after re-measurement will be \$46 million (\$46.5 million – \$0.5 million).	1
The impairment loss of \$17 million (\$63 million – \$46 million) will first be allocated to goodwill taking its carrying amount to nil.	1
None of the remaining impairment loss will be allocated to inventories or trade receivables since their recoverable amounts are at least equal to their existing carrying amounts.	1
The remaining impairment loss of \$7 million (\$17 million – \$10 million) will be allocated to the property, plant and equipment and the patents on a pro-rata basis.	1
The closing carrying amounts of the property, plant and equipment and the patents will be \$15 million and \$6 million respectively.	1
	7
(c) Because the lease-back is a five-year lease of a property with a useful economic life of 25 years, the lease will be considered to be an operating lease.	½
Therefore the property will be removed from property, plant and equipment.	½
Because the property is being leased at a rental which is lower than market rentals, the apparent loss on sale of \$3 million (\$23 million – \$20 million) will be recognised over the lease term.	½
Therefore, in the year ended 30 September 2013, a loss on sale of \$300,000 (\$3 million x 6/60) will be recognised in profit or loss.	1
The unrecognised loss on sale of \$2.7 million (\$3 million – \$300,000) will be shown as a deferred expense.	½
\$600,000 (\$3 million x 12/60) of the above will be shown as a current asset and the balance of \$2.1 million (\$2.7 million – \$600,000) as a non-current asset.	1
A rental expense of \$900,000 (\$1.8 million x 6/12) will be recognised in profit or loss for the year ended 30 September 2013.	½
A pre-payment of \$900,000 will be shown in current assets at 30 September 2013.	½
	5
	20

3 (a) The tax base of an asset is the amount which will be deductible for tax purposes against any taxable economic benefits which will flow to the entity when the asset is recovered. If these benefits are not taxable, the tax base equals the carrying amount.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The tax base of a liability is its carrying amount, less any amount which will be deductible for tax purposes in respect of that liability in future periods. If the 'liability' is revenue received in advance, the tax base is its carrying amount, less any revenue which will not be taxable in future periods.	$\frac{1}{2} + \frac{1}{2} + 1$
The general requirements of IAS 12 are that deferred tax liabilities should be recognised on all taxable temporary differences.	$\frac{1}{2}$
IAS 12 states that a deferred tax asset should be recognised for deductible temporary differences if it is probable that taxable profit will arise in future against which the deductible temporary difference can be utilised.	$\frac{1}{2} + \frac{1}{2}$ 5
(b) (i) Because the unrealised gain on revaluation of the equity investment is not taxable until sold, there are no current tax consequences.	$\frac{1}{2}$
Because the unrealised gain on revaluation of the equity investment is not taxable until sold, the tax base of the investment is \$200,000.	1
The revaluation creates a taxable temporary difference of \$40,000 (\$240,000 – \$200,000).	$\frac{1}{2} + \frac{1}{2}$
This creates a deferred tax liability of \$10,000 (\$40,000 x 25%). The liability would be non-current. The fact that there is no intention to dispose of the investment does not affect the accounting treatment.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
Because the unrealised gain is reported in other comprehensive income, the related deferred tax expense is also reported in other comprehensive income.	$\frac{1}{2} + \frac{1}{2}$ 5
(ii) When Kappa sold the products to Omega, Kappa would have generated a taxable profit of \$16,000 (\$80,000 – \$64,000). This would have created a current tax liability for Kappa and the group of \$4,000 (\$16,000 x 25%). This liability would be shown as a current liability and charged as an expense in arriving at profit or loss for the period.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
In the consolidated financial statements the carrying value of the unsold inventory would be \$38,400 (\$64,000 x 60%). The tax base of the unsold inventory would be \$48,000 (\$80,000 x 60%).	$\frac{1}{2} + \frac{1}{2}$
In the consolidated financial statements there would be a deductible temporary difference of \$9,600 (\$38,400 – \$48,000) and a potential deferred tax asset of \$2,400 (\$9,600 x 25%). This would be recognised as a deferred tax asset since Omega is expected to generate sufficient taxable profits against which to utilise the deductible temporary difference.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$
The deferred tax asset would be recognised as a current asset. The resulting credit would reduce consolidated deferred tax expense in arriving at profit or loss.	$\frac{1}{2} + \frac{1}{2}$ 6
(iii) The receipt of revenue in advance on 31 March 2013 would create a current tax liability of \$50,000 (\$200,000 x 25%) as at 30 September 2013.	$\frac{1}{2} + \frac{1}{2}$
The carrying value of the revenue received in advance at 30 September 2013 is \$80,000 (\$200,000 – \$120,000). Its tax base is nil (\$80,000 – \$80,000).	$\frac{1}{2} + \frac{1}{2}$
The deductible temporary difference of \$80,000 would create a deferred tax asset of \$20,000 (\$80,000 x 25%). The asset can be recognised because Kappa has sufficient taxable profits against which to utilise the deductible temporary difference. It would be recognised as a current asset since the remaining revenue is recognised in the following accounting period.	$\frac{1}{2} + \frac{1}{2} + \frac{1}{2} + \frac{1}{2}$ 4 20

4 (a) Computation of the cost of the factory

Description	Included in PPE \$'000	Explanation	
Purchase of land	10,000	Both the purchase of the land and the associated legal costs are direct costs of constructing the factory	1
Preparation and levelling	300	A direct cost of constructing the factory	1/2
Materials	6,080	A direct cost of constructing the factory	1/2
Employment costs of construction workers	1,400	A direct cost of constructing the factory for a seven-month period	1/2
Direct overhead costs	700	A direct cost of constructing the factory for a seven-month period	1/2
Allocated overhead costs	Nil	Not a direct cost of construction	1/2
Income from use as a car park	Nil	Not essential to the construction so recognised directly in profit or loss	1
Relocation costs	Nil	Not a direct cost of construction	1/2
Opening ceremony	Nil	Not a direct cost of construction	1/2
Finance costs	700	Capitalise the interest cost incurred in an eight-month period (purchase of land would trigger off capitalisation)	1 1/2
Investment income on temporary investment of the loan proceeds	(100)	Must offset against the amount capitalised	1/2
Demolition cost recognised as a provision	920	Where an obligation must recognise as part of the initial cost	1
Total	<u>20,000</u>		1/2
Computation of accumulated depreciation			
Total depreciable amount	<u>10,000</u>	All of the net finance cost of 600 (700 – 100) has been allocated to the depreciable amount. Also acceptable to reduce by allocating a portion to the non-depreciable land element	1
Depreciation must be in two parts		Principle	1/2
Depreciation of roof component	50	$10,000 \times 30\% \times 1/20 \times 4/12$	1 1/2
Depreciation of remainder	<u>58</u>	$10,000 \times 70\% \times 1/40 \times 4/12$	1
Total depreciation	<u>108</u>		1/2
Computation of carrying amount			
	<u><u>19,892</u></u>	20,000 – 108	1/2
			<u>14</u>

(b) Amount included in statement of financial position at 30 September 2013

	Amount	Explanation	
Number of executives	190	Use expected number based on latest estimates as a non-market vesting condition	1/2 + 1/2
Options vesting for each executive	2,000	Use expected number based on latest estimates as a non-market vesting condition	1/2
Impact of expected share price	None	This is a market-based vesting condition and is ignored for this purpose	1/2
Fair value of option	\$0.50	Use fair value on grant date per IFRS 2	1/2
Proportion vesting	2/3	Two years through a three-year vesting period	1/2
Included in equity	\$126,667	$190 \times 2,000 \times \$0.50 \times 2/3$	1
Amount included in statement of profit or loss and other comprehensive income for the year ended 30 September 2013			
Cumulative amount recognised in equity at 30 September 2013 (see above)	\$126,667		1/2
Amount recognised in previous year	<u>\$(50,000)</u>	$200 \times 1,500 \times \$0.50 \times 1/3$	1
So included in current year's profit or loss	<u><u>\$76,667</u></u>		1/2
			<u>6</u>
			<u>20</u>